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CANADA BREAD REPORTS SECOND QUARTER FINANCIAL RESULTS

Toronto, Ontario – July 28, 2005 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the second quarter ended June 30, 2005.

"Our second quarter operating earnings reflect continued strong results in our Fresh Bakery operations, supported by operating cost improvements and a continued shift towards higher margin premium nutrition whole wheat and wholegrain products," said Richard Lan, President and CEO of Canada Bread.

Sales for the second quarter increased by 5% to $344.6 million from $329.7 million for the prior year, primarily due to the Fresh Bakery business. Sales for the first six months of 2005 were $661.5 million, an increase of 4% over 2004.

Net earnings for the quarter were $21.3 million ($0.84 per share) compared to $15.8 million ($0.62 per share) last year. Year-to-date net earnings before restructuring costs were $36.4 million ($1.43 per share), compared to $28.3 million ($1.11 per share) last year. Including restructuring costs, year-to-date net earnings were $33.1 million ($1.30 per share).

Operating Review

Earnings from operations increased 30% to $30.5 million compared to $23.4 million last year, driven by increased earnings in the Fresh Bakery operations. Earnings from operations before restructuring costs for the year-to-date increased 23% to $52.5 million. Comparisons of earnings from operations exclude $4.7 million ($3.2 million after tax) of restructuring costs in the first quarter of 2005. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Fresh Bakery sales increased 5% to $247.0 million in the second quarter, and increased to $467.9 million for the first six months from $445.2 million last year. Earnings from operations increased to $25.7 million in the second quarter from $16.9 million last year, while earnings from operations for the year-to-date increased to $40.7 million from $26.8 million last year. Strong sales of premium nutrition multi-grain and specialty breads, operating cost reductions, particularly in the western and eastern fresh bakery operations, and price increases that offset inflationary cost increases all contributed to increased earnings. Fresh pasta and sauce earnings also increased due to new U.S. product distribution.

Frozen Bakery sales increased to $97.6 million from $95.1 million in the second quarter of 2004, while sales for the first six months increased to $193.6 million from $189.9 million last year, due mainly to ongoing growth in the U.K. bakery operations. Operating earnings declined to $4.7 million in the second quarter from $6.5 million last year, while operating earnings for the year-to-date were $11.8 million compared to $16.0 million in 2004. The decline in second quarter operating earnings was primarily due to higher advertising and promotional spending in the U.K. Bakery operations, as a new marketing campaign was launched to support increased production from the new bagel plant in Rotherham.

Cash Flow and Financing

Cash flow from operating activities for the second quarter was a source of funds of $30.4 million compared to a source of funds of $32.8 million last year, while year-to-date cash flow from operations was a source of funds of $26.5 million compared with $61.4 million in the prior year-to-date. This year-over-year change was due primarily to an increased investment in working capital offset by increased net earnings in the first and second quarters of 2005. Capital expenditures increased to $20.7 million from $13.9 million last year, including expenditures related to the installation of new equipment to support the new FroBake® line of products in the United States and completion of the new bagel plant in the United Kingdom.

Other Matters

The Company declared a dividend of $0.06 per share payable on July 4, 2005 to shareholders of record on June 17, 2005.

Canada Bread, which is 87.5% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2004 sales of $1.3 billion and employs approximately 7,300 people at its operations across North America and in the United Kingdom.

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